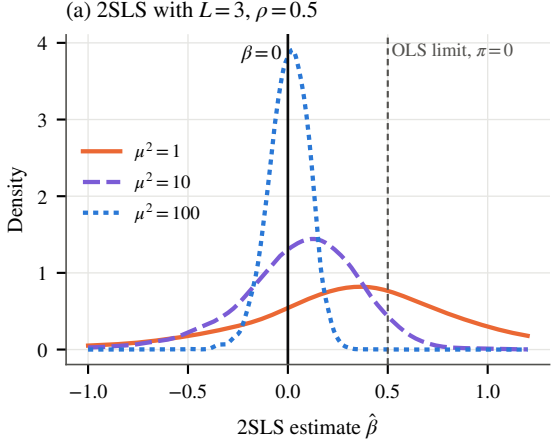
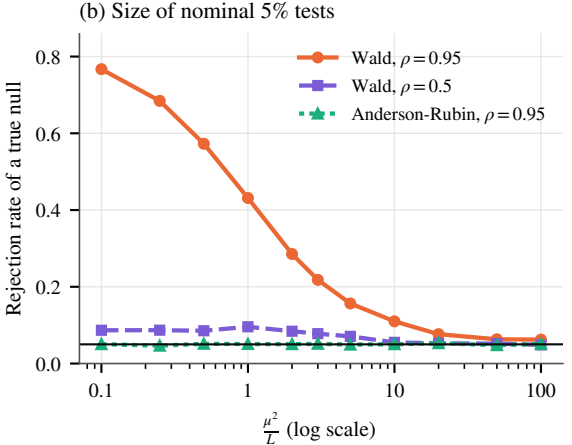

(a) 2SLS with $L=3$, $\rho=0.5$
$\beta=0$
OLS limit, $\pi=0$
$\mu^2=1$
$\mu^2=10$
$\mu^2=100$
Density
2SLS estimate $\hat{\beta}$


(b) Size of nominal 5% tests
Wald, $\rho=0.95$
Wald, $\rho=0.5$
Anderson-Rubin, $\rho=0.95$
Rejection rate of a true null
$\frac{\mu^2}{L}$ (log scale)